

LIBERTY KENYA HOLDINGS PLC 1H2024 EARNINGS UPDATE

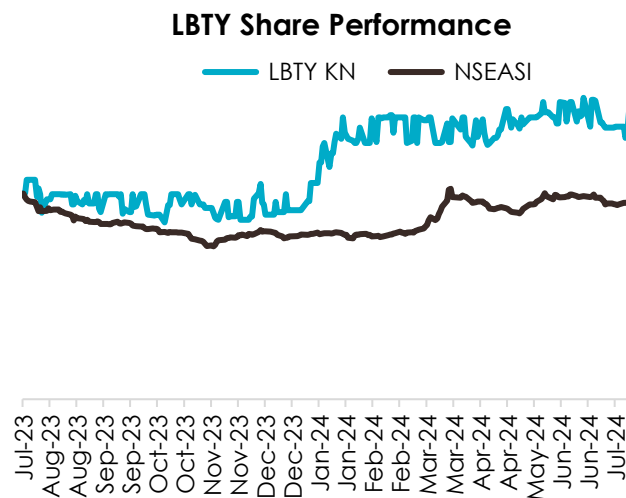
Liberty Kenya released **1H2024** financial results posting a **196.7%** increase in **profit after tax** to KES 632Mn. The performance was on the back of an 851.9% increase in insurance service results. The performance was however weighed down by a 484.8% increase in net insurance finance expenses during the year.

The **earnings per share** rose to **KES 1.16** from KES 0.29 in the previous period.

PERFORMANCE HIGHLIGHTS

- **Total Earnings:** Net earnings grew significantly by 196.7% to KES 632Mn from KES 213Mn on the back of 851.9% growth in insurance service result and 127.8% increase in investment income to KES 2.1Bn.
- The impressive revenue performance reflects the solid fundamentals of the business despite a significant reduction in disposable income which affects insurance uptake.
- **Net insurance finance expenses:** Finance expenses related to insurance recorded a significant growth by 484.8% to KES 1.1Bn. Additionally, other operating expenses increased by 57.9% to KES 747Mn weighing down the Group's bottom-line.
- **Net Investment Income:** Rose significantly by 127.8% to 2.1Bn driven by increased investments in government securities to lock in attractive high-yielding instruments given the high interest rate environment.
- **Asset size-** The group's asset base remained robust having increased by 6.9% to KES 46.0Bn a reflection of the ability of the Group to meet its obligations.

Share Data	Liberty Plc
Current Price (KES)	5.10
52WK High (KES)	6.24
52WK Low (KES)	3.30
No. of shares issued (Mn)	535.71
Market Cap (KES Bn)	2.73
Free Float	9.39%
EPS (FY'23)	KES 1.22
P/E	4.18x
DPS	Nil
Current Price = VWAP as at 21st August 2024	



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FINANCIAL SUMMARY

Liberty Kenya Holdings PLC	Key Metrics Y/Y
Insurance Service Result	▲ 851.9% to KES 0.51Bn
Net Investment Income	▲ 127.8% to KES 2.11Bn
Net Insurance Finance Expenses	▲ 484.8% to KES 1.08Bn
Net Insurance and Investment Result	▲ 94.3% to KES 1.55Bn
Profit Before Taxation	▲ 160.2% to KES 0.98Bn
Taxation	▲ 112.8% to KES 0.35Bn
Profit After Tax	▲ 196.7% to KES 0.63Bn
EPS	▲ 300% to KES 1.16
Total Assets	▲ 6.9% to KES 46.00Bn

Source: Company financials, NCBA IB Research

OUTLOOK

The group's growth outlook will depend on its short-term strategy to 2025 which has a focus on enhancing customer experience, building partnerships and setting up necessary growth enablers. This will be achieved through;

- **Enhanced Digital Transformation:** The group continues to enhance its digital systems to improve customers' claims and servicing journey via the USSD platform and the policy administration systems.
- **Implementing New Products:** The management continues to implement the turnaround strategy which involves **fixing, rejuvenating and growing and launching** new products in 2024. Fixing involves identifying and addressing issues or inefficiencies within existing products, services, or processes with the objective to resolve problems that may be hindering performance or customer satisfaction. Rejuvenation on the other hand encompasses revitalizing or refreshing existing products or business practices to make them more competitive or appealing in the market.

The focus is on laying the foundation for growth and enhancing performance across the businesses. This involves creating a competitive product mix with appropriate margins, delivering these products to the market through a dedicated and effective distribution force, and efficient deployment of capital.

- **Leveraging on parent and related firms-** The Group's business will benefit from continued partnership with related entities such as Stanbic Bank Kenya through distribution and selling of underwriting business.

Key Update

Liberty Kenya Holding is in advanced negotiations to dispose of its 60% shareholding in Heritage Insurance Company, Tanzania. The board however expects little impact on the Group's financial position if the transaction sails through.

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